

Unit 1:

Introduction to E-Business and E-Commerce

E-Business and E-Commerce

Overview

This Chapter will cover:

- ▶ What is E-Business and E-Commerce
- ▶ Importance of E-Business and E-Commerce
- ▶ Different types of E-Commerce
- ▶ E-Commerce vs Traditional Commerce

E-Business (Electronic Business)

- ▶ E-business refers to the digital enabling of transactions and processes within a firm, involving information systems under the firm's control.
- ▶ E-Business refers to the use of digital technology and the internet to conduct a company's entire range of business processes. This includes not only buying and selling (E-Commerce), but also activities like:
 1. Managing internal processes (inventory, HR, finance)
 2. Communicating with suppliers and partners
 3. Offering customer service and support
 4. Collaborating on product development

E-Commerce

- ▶ E-Commerce refers to the process of buying, selling, transferring, or exchanging products, services, or information via electronic networks, primarily the Internet. It represents the use of digital technologies, particularly the web, to facilitate commercial transactions between businesses, consumers, and governments.
- ▶ **Key Characteristics of E-Commerce:**
 - Involves digitally enabled transactions.
 - Occurs over digital platforms such as websites, mobile applications, and social media.
 - Includes the exchange of goods, services, and information.
 - Typically involves online payment systems, digital marketing, and logistics coordination.
 - Enhances market reach, customer convenience, and operational efficiency.

Types of E-Commerce

- ▶ **Business-to-Consumer (B2C)**
- ▶ **Business-to-Business (B2B)**
- ▶ **Consumer-to-Consumer (C2C)**
- ▶ **Consumer-to-Business (C2B)**
- ▶ **Government-to-Citizen (G2C)**

Types of E-Commerce

1. Business-to-Consumer (B2C)

B2C refers to transactions where businesses sell products or services directly to consumers through online platforms.

Key Features:

- Most common form of E-Commerce
- Involves digital storefronts
- Emphasis on user experience and marketing

Example: Foodmandu, Daraz etc

Types of E-Commerce

2. Business-to-Business (B2B)

B2B involves transactions between two businesses, such as a wholesaler selling goods to a retailer via an online platform.

Key Features:

- Large-scale transactions
- Often involves long-term contracts
- Higher order volume and value

Example: **Alibaba, pahilo.com, shopify.**

Types of E-Commerce

3. Consumer-to-Consumer (C2C)

C2C involves individuals selling goods or services to other individuals using a third-party platform.

Key Features:

- Peer-to-peer interaction
- Platform acts as intermediary
- Trust and verification are crucial

Example: eBay, OLX, or Facebook Marketplace.

Types of E-Commerce

4. Consumer-to-Business (C2B)

C2B refers to individuals offering products or services to companies, typically through digital platforms.

Key Features:

- Reverses traditional commerce model
- Empowerment of individual service providers
- Common in freelance

Example: Upwork, Fiverr

Types of E-Commerce

5. Government-to-Citizen (G2C)

G2C involves government entities providing services or information to citizens through digital platforms.

Key Features:

- Promotes transparency and efficiency
- Enhances public access to services
- Often integrated with e-governance initiatives

Example: Online tax filing, E-Government Portals, Online Passport Pre-enrollment

Importance of E-Business and E-Commerce

- ▶ **Global Reach:** Enables access to international markets and wider customer bases.
- ▶ **Cost Efficiency:** Reduces operational and administrative costs through digitization.
- ▶ **Improved Efficiency:** Automates processes and enhances workflow speed.
- ▶ **Better Customer Experience:** Offers 24/7 service, personalization, and secure transactions.
- ▶ **Data Utilization:** Supports strategic decisions through real-time data analytics.
- ▶ **Digital Inclusion:** Promotes economic participation in rural and underserved areas.
- ▶ **Crisis Resilience:** Ensures continuity during disruptions like pandemics.
- ▶ **Sustainability:** Minimizes paper use and supports eco-friendly practices.

E-Commerce vs Traditional Commerce

Traditional commerce refers to the conventional method of buying and selling goods and services, which typically involves physical interaction between buyers and sellers

Key Features of Traditional Commerce:

1. Face-to-face interaction – Buyers and sellers meet physically.
2. Physical stores or outlets – Transactions take place at a physical location.
3. Limited business hours – Operates only during specific hours and days.
4. Geographical limitations – Usually limited to a local or regional area.
5. Slower transactions and communication – Especially compared to digital systems.

E-Commerce vs Traditional Commerce Continued...

Advantage of E-Commerce:

- ▶ **Global Reach:** Businesses can reach a worldwide audience without the constraints of location.
- ▶ **24/7 Operation:** Digital platforms enable continuous service availability, improving customer convenience and business continuity.
- ▶ **Lower Cost of Entry:** Minimal investment is required to launch online stores compared to physical businesses, reducing barriers for startups and small enterprises.
- ▶ **Information Availability and Targeting:** Digital tools allow real-time access to customer data, supporting targeted advertising and personalized marketing strategies.
- ▶ **Greater Personalization:** E-Commerce platforms use data analytics to offer customized recommendations and user experiences.
- ▶ **Scalable Platforms:** Digital systems can handle increasing demand and customer traffic with minimal additional investment, supporting business growth.

E-Commerce vs Traditional Commerce Continued...

Disadvantages and Challenges of E-Commerce:

- ▶ **Lack of Physical Experience:** Customers cannot physically inspect or test products before purchase, which may affect buying decisions, especially for tactile goods.
- ▶ **Trust and Security Concerns:** Issues related to online fraud, privacy, and data security can hinder consumer confidence.
- ▶ **Technical Barriers:** Both businesses and consumers may face challenges such as poor internet access, limited digital literacy, or complex user interfaces.
- ▶ **Logistics and Returns:** Efficient delivery and return processes are critical and often costly, particularly in regions with underdeveloped infrastructure.
- ▶ **Intense Competition and Market Saturation:** The low barrier to entry leads to high competition in online markets, making it difficult for new or small businesses to gain visibility and customer loyalty.

Difference between Traditional Commerce and E-commerce :

Traditional Commerce	E-commerce
Traditional commerce refers to the commercial transactions or exchange of information, buying or selling product/services from person to person without use of internet.	E-commerce refers to the commercial transactions or exchange of information, buying or selling product/services electronically with the help of internet.
In traditional commerce direct interaction through seller and buyer is present.	In e-commerce indirect interaction through seller and buyer occurs using electronic medium and internet.
Traditional commerce is carried out by face to face, telephone lines or mail systems.	E-commerce is carried out by internet or other network communication technology.
In traditional commerce processing of transaction is manual.	In e-commerce processing of transaction is automatic.
Its accessibility is for limited time in a day.	Its accessibility is 24×7×365 means round the clock.
Its resource focuses on supply side.	Its resource focuses on demand side.

Thank You!